

SECTION 3: GOVERNMENT BUDGET

3.1 PRINCIPLES OF TAXATION

Multiple Choice Questions

1994/CE/II/46

In Hong Kong, salaries tax is normally paid by two instalments and the tax payment can be made through the post. This practice agrees with the _____ principle of taxation.

- A. equality
- B. convenience
- C. certainty
- D. economy

1996/CE/II/40

A Japanese electronics firm produces and sells its products in Hong Kong. Therefore, it has to pay profits tax to the Hong Kong government. Hong Kong is applying the

- A. source principle.
- B. residence principle.
- C. equity principle.
- D. convenience principle.

1997/CE/II/47

Which of the following descriptions of Hong Kong's taxation system is true?

- A. Only incomes derived from Hong Kong are liable to tax.
- B. Rates is a direct tax.
- C. Import duties are imposed on some goods in an attempt to protect local industries.
- D. The profits tax rate of corporations is the same as the standard tax rate.

2000/CE/II/40

The payment of salaries tax and profits tax can be made by the Payment by Phone Service (PPS) by which taxpayers can transfer money from their bank accounts to the government. This practice satisfies the _____ principle of taxation

- A. source
- B. certainty
- C. convenience
- D. equity

2002/CE/II/39

Suppose the government of an economy announces that the people will have to pay a general sales tax of 2% of the selling price when they purchase any goods and services. The government also launches a series of programmes to make sure that the public understands the new tax. Which of the following taxation principles is illustrated by the above measures of the government?

- A. equality
- B. certainty
- C. convenience
- D. economy

2003/CE/II/44

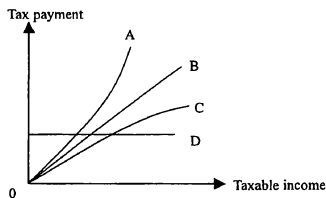
Which of the following statements about the tax system of Hong Kong is correct?

- A. The rental income derived from properties overseas is subject to the property tax of Hong Kong.
- B. All the business organizations in Hong Kong have to pay at the same profits tax rate, as it is a proportional tax.
- C. Interest income from deposits denominated in Hong Kong dollars is subject to interest tax in Hong Kong.
- D. The estate duty in Hong Kong is a progressive tax.

(Note: The estate duty was abolished in 2006.)

2006/CE/II/41

The following lines A, B, C and D indicate different relationships between tax payment and taxable income. Which of these four lines shows a relationship in accordance with the taxation principle of equality put forth by Adam Smith?



- A. line A
- B. line B
- C. line C
- D. line D

2007/CE/II/41

The introduction of a 5% Goods and Services Tax on specified items of goods and services is regressive in nature and will incur large administrative costs.

The above statement is concerned with the _____ principle of taxation put forward by Adam Smith.

- (1) equity
 - (2) certainty
 - (3) economy
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2009/CE/II/40

Which of the following statements about the tax system in Hong Kong is correct?

- A. Capital gains from the trading of stocks are subject to capital gains tax.
- B. Rental income from a residential flat in Mainland China is subject to Hong Kong income tax.
- C. Gasoline consumption is not subject to tax.
- D. The estimated rental value of owner-occupied residential flats is not subject to property tax.

2009/CE/II/41

In Hong Kong, citizens are allowed to make their tax payments through the Internet. This practice is in line with the _____ principle of taxation put forward by Adam Smith.

- A. equity
- B. certainty
- C. convenience
- D. source

2013/DSE/II/35

In July 2009, the government introduced an environmental levy of 50 cents on each plastic shopping bag at the retail level, with the first phase covering chain or large supermarkets, convenience stores and personal health and beauty product stores. Small shops are exempted in the first phase. Customers can pay the levy, with the original amount of purchase of goods, by credit card, Easy Pay System (EPS) or cash.

The collection of the above environmental levy is **LEAST** in line with the _____ principle of taxation put forward by Adam Smith.

- A. equality
- B. economy
- C. convenience
- D. certainty

2020/DSE/II/39

The following is an extract of the mission of the Inland Revenue Department.

Our Mission

We are committed to

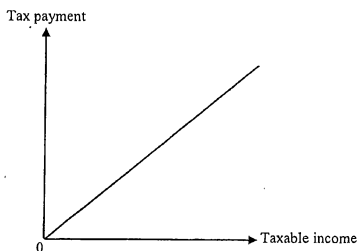
- collecting revenue efficiently and cost-effectively
- enabling staff to acquire the necessary knowledge, skills and attitude so that they can contribute their best to the achievement of our vision

The above mission is in line with the _____ principle of taxation put forward by Adam Smith.

- A. equality
- B. certainty
- C. convenience
- D. economy

2022/DSE/II/40

The following diagram shows the relationship between taxable income and tax payment in a tax system.



Which of the following statements about the above tax system is correct?

- A. It is in line with the equality principle put forth by Adam Smith.
- B. There is no tax allowance for the tax.
- C. Tax rate increases as taxable income increases.
- D. The tax system narrows the income gap between the rich and the poor.

Short & Structured Questions

1990/CE/I/5(a)

Explain **THREE** principles which a government has to consider when introducing a new tax.

(6 marks)

1993/CE/I/5(b)(ii)

If Mr. Chan rents the flat to a tenant, he will have to pay property tax to the Hong Kong government for the rental income.

From the view point of the taxpayers, property tax follows certain taxation principles. Give **TWO** such principles. (6 marks)

1999/CE/I/10(c)

Mr. Ng is a Hong Kong citizen. He sets up a firm in Mainland China and earns profits.

(i) Explain whether Mr. Ng needs to pay profits tax to the government of Hong Kong.

(2 marks)

(ii) Mr. Ng uses the Hong Kong International Airport when he flies to Mainland China. What tax does he have to pay to the government of Hong Kong? Which taxation principle is applied in this case?

(2 marks)

2002/CE/I/8

State and explain **TWO** principles of taxation put forward by Adam Smith.

(4 marks)

2005/CE/I/8

Apart from 'convenience' and 'economy', explain **TWO** principles of taxation put forward by Adam Smith.

(4 marks)

2010/CE/I/6

Apart from 'certainty' and 'convenience', briefly explain **TWO** taxation principles put forth by Adam Smith.

(4 marks)

2014/DSE/II/6(a)

Karen, a Hong Kong resident, works as a photographer in a media group in Shanghai.

Would Karen's salary earned in Shanghai be taxed in Hong Kong? Explain your answer.

(2 marks)

2017/DSE/II/6(b)

Suggest **ONE** type of direct tax in Hong Kong that follows the tax principle of 'equality' put forward by Adam Smith.

Explain your answer.

(2 marks)

2018/DSE/II/6(b)

The government proposes the following changes in the profits tax system.

Profit	Existing system	New two-tier system
On the first \$2 000 000	16.5%	8.25%
Remainder		16.5%

Evaluate the above changes in the tax system in terms of **ONE** principle of taxation put forward by Adam Smith. (2 marks)

2022/DSE/II/5a

Country D introduced a short-term capital gains tax (STCGT) on property market.

Capital gains (\$)	STCGT rate (%)
10 000 or below	8
10 001 to 50 000	16
50 001 to 100 000	24
100 001 or above	32

STCGT is a tax on capital gains from the sale of a property held for less than 1 year.

A spokesman of the tax department said that a new computer system had been developed for STCGT. Although the system cost more than 1 billion dollars, it allowed tax payers to check and pay the amount of STCGT online easily.

- (a) Evaluate the new tax in terms of **TWO** principles of taxation put forward by Adam Smith. (4 marks)